

MINUTES OF THE HOLLADAY CITY COUNCIL ANNUAL PLANNING MEETING

Thursday, March 25, 2021

6:00 p.m.

The City Council of the City of Holladay conducted this meeting by electronic means, in accordance with the Utah Open and Public Meetings Act, and the Order on Public Meetings of the City Council for the City issued by Mayor Dahle.

ATTENDANCE:

Mayor Rob Dahle

Council Members:

Matt Durham

Paul Fotheringham

Drew Quinn

Dan Gibbon

Sabrina Petersen

Staff:

Gina Chamness, City Manager

Holly Smith, Assistant to the City Manager

1. Call to Order:

Mayor Dahle called the meeting to order at 6:02 p.m. He read the Order on Public Meetings of the City Council for public meetings of electronic means, and briefly explained the intent of the retreat as (1) review past priorities and goals, (2) review financials, and (3) set priorities and goals for the upcoming year, including a continuation of the Council's discussion of a potential property tax increase.

2. Review Progress on FY2020-21 Goals:

City Manager Gina Chamness shared a document with the current year goals, edited to indicate completed or items no longer considered to move forward and organized by priority areas. City Manager Chamness reviewed the highlights of each section.

a. **Economic Development– explore opportunities for further redevelopment:** Both establishing a redevelopment area for the Holladay Crossroads and forming a real estate committee were removed. Ms. Chamness noted the recently passed American Rescue Plan (APR) Act, and the possibility of earmarks returning. The evaluation of economic development conditions remains a priority, and to move forward, funding for the study is needed in the budget. The sale of the Cotton Bottom and subsequent reopening was noted as a successfully completed project.

b. **City Organization and Administration:** The 911 outreach is complete. The City hired an emergency manager; relocation of the hired individual now requires the selection of a new candidate, likely in June. The pandemic delayed the implementation of events, like the proposed lecture series. Significant progress was made on fulfilling the MS4 permit requirements.

c. **Develop a Sustainable Funding Model for the City:** The Council-appointed Citizen Advisory Group has fulfilled their charge to evaluate the City's financial condition, unmet, project needs, and funding tools to recommend a sustainable financial plan. That plan included a recommendation for the implementation of a storm water utility fee, which went through a Council public process in Fall 2020 and subsequently approved by the Council.

- d. **Address Land Use Issues in the City:** The penalty for short term rentals (STRs) was strengthened. The consideration of accessory dwelling units (ADUs) and a plan to use affordable housing dollars are prime for further consideration, especially with the impending expiration of the Millrock Redevelopment Area.
- e. **Continue Efforts to Better Maintain Public Assets in City:** The audio, visual, and furniture in the Mt Olympus and Council Chambers were upgraded to enhance public broadcast capabilities, information sharing during meetings, and more flexible meeting space.
- f. **Community/Lifestyle Enhancements:** The pickleball courts are being resurfaced, the skatepark under contract for design-build, canal trails study complete, and bike racks, bollards, and benches installed on Village Plaza. The Holladay Foundation continues to be a challenging group to reinvigate.

3. **Review FY 2020-21 Financial Picture:** City Manager Chamness shared a Wasatch Front Regional Council (WFRC) tool that provides sales tax data for 2019 v. 2020 by quarter for comparison for each jurisdiction. She noted the stunning growth in non-store retail category (on-line sales) over that past year. This growth makes future revenue projection difficult. Additionally, the amount of general fund balance legally permitted by units of local government has increased from 25% to 35% as a result of recent legislation passed in the 2021 State of Utah Legislative Session. Holladay's balance is currently about 31%, largely due to the influx of the on-line sales tax. There is approximately \$5 million in General Fund Balance, and \$5.8 million in Capital Fund Balance. The Citizen Advisory Group's recommended sustainable financial plan considered spending \$3 million dollars of fund balance in year 1, and \$2-3 million in year 2. The increase in fund balance will be updated in the financial model to calculate any changes to a potential property tax increase. The City is also awaiting more guidance on the American Rescue Plan funding.

4. **Determine FY 2021-22 Budget Assumptions and Goals:** City Manager Gina Chamness shared a document with the proposed priorities for FY 2021-22 goals, organized by priority areas. City Manager Chamness reviewed the highlights of each section.

- a. **Economic Development:** The upcoming year will focus on completing a study to evaluate economic development potential in the community and explore funding opportunities provided by CARES and American Rescue Plan (APR). The funding may provide an opportunity to expand broadband in the estates and Canyon Cove neighborhoods.
- b. **City Organization and Administration:** The Holladay Chamber of Commerce has approached the City to consider a new model – a Holladay Business Council, and the City will continue to work with the Chamber to explore this option. City staff will also assess the organizational structure and staffing in key areas, including Administration and Community Development. The implementation of credit card as payment option will also extend to business licensing and room/park rentals. The City will also complete the implementation of electronic plans submission. Lastly, staff will continue working on ordinance changes to comply with statutory changes made by State Legislature.
- c. **Develop a Sustainable Funding Model for the City:** To implement the new storm water utility fee, staffing recommendations are currently being developed for FY 2021-22. The model assumes addition of FTEs, including engineering function and technician to fully implement program. Other priorities include the implementation of a potential

property tax rate change and continued evaluation of sales tax increases and projections for City budgeting purposes.

d. **Address Land Use Issues in the City:** Priorities for this area include consideration of moderate housing plan options, ADU ordinance changes, and demographic changes as well as potential changes in Historic Preservation ordinances, based on feedback from Historic Commission.

e. **Continue Efforts to Better Maintain Public Assets in City:** Developing a plan for the future of Casto House, evaluation of options for street lighting changes, and potential Arborist function within City organization, as identified by Tree Committee, are all priorities for the coming year.

f. **Community/Lifestyle Enhancements:** The Historic Commission is reconsidering the future focus of their group, including the viability of the development of museum or restoration and installation of Meadows Cabin. The City continues to work on adopting a Sustainability Master Plan, with Cottonwood Heights and Millcreek and will consider the approval of the HB 411 Master Agreement. The City discontinued participation in the raccoon mitigation program a year ago, but is reconsidering rejoining raccoon contract.

5. **Ongoing Property Tax Discussion:** The Council reviewed the recommendation of the Citizen Advisory Group. Discussion ensued. Council Members weighed using additional fund balance to lower the potential property tax increase amount and wanting to have a proposal they can defend and support while still meeting the unmet needs. They discussed the merits and challenges of phasing the increase or proceeding with a larger, upfront increase. Council Members expressed a strong desire to hear from more residents. Messaging will be critical. Community may misunderstand that the funding from the American Rescue Plan (ARP) Act will provide funding to meet unmet needs. The reality is that ARP funds are very limited in use, and can't be used on roadway projects, as an example. There was general consensus to infuse more fund balance into the model, consider additional data, and review potential options before deciding on a preliminary proposal to share with the public.

6. **Adjourn:** There being no further business, Council Member Paul Fotheringham moved to adjourn, Council Member Drew Quinn seconded the motion. The Council voted in the affirmative and the meeting adjourned at 8:48 p.m.

I hereby certify that the foregoing represents a true, accurate and complete record of the Holladay City Council Annual Planning meeting held Thursday, March 25, 2021.

Stephanie N. Carlson, MMC
Holladay City Recorder

Robert Dahle, Mayor

Minutes approved: **May 6, 2021**